The Five Boxes Series · Teen Edition, Book Two

I Started. So Why Isn't It Working?

The Part Nobody Warns You About

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The Part Nobody Warns You About The Five Boxes Series · Teen Edition, Book Two

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Before You Start

◆ It's fine if you haven't done anything yet

This book was written thinking about somebody who read Book One and started something.

But you can read it without having started.

Every chapter opens with **"this happened, right?"** — and if it hasn't happened to you, just read it as **"this is going to happen."**

Knowing in advance is the better deal anyway.

◆ If you didn't read Book One, this is all you need

Book One took businesses apart using five questions. We call them **the Five Boxes.**

	The question	One word
1	Who actually pays?	**Customer**

	The question	One word
2	What are they paying for?	**Value**
3	How and when does the money arrive?	**Payment**
4	Why hasn't anyone taken it?	**Moat**
5	Where does it break?	**Fault line**

The first three ask **how it earns right now.** The last two ask **whether it gets to keep earning.**

Book Two only digs into the last two.

◆ What was a moat again?

Book One explained it like this.

> A ditch dug around a castle so attackers can't get across.

In a business it's **the thing somebody can't copy even when they want to.**

In this book we're going to ask it this way.

> **Somebody showed up copying me. Why am I still standing?**

That's the moat. The reason it can't be taken.

◆ How this book is built

Part	What's in it
Part One (1–6)	What actually happens when you start — the first six walls
Part Two (7–11)	What can only I do — moats
Part Three (12–16)	When it's going fine and then suddenly isn't — fault lines

Every chapter ends with **Do This Today.**

In Book One that section was called *Try It Yourself*. The name changed because you're not somebody trying something new anymore. **You're somebody fixing something.**

◆ About numbers

Every company fact in this book is one that could be checked. If it couldn't be confirmed, it isn't here. Same as Book One.

And **age limits and sign-up requirements are deliberately not printed as exact numbers,** because those change constantly.

Instead you'll find where to go and check.

Getting in the habit of looking it up yourself is one of the things this book is trying to teach you.

Opening — There's a Wall Only People Who Started Ever Meet

◆ Three weeks in and nothing is happening

Say you started something.

You sold something secondhand, or you drew something and posted it, or you made something for your friends.

And three weeks went by.

Nothing happened.

One or two people looked. That was it. The buzz you had at the beginning is gone, and now it's a little embarrassing.

And a sentence shows up in your head.

> **Yeah, I'm just not built for this.**

This book exists to stop that sentence.

◆ Why that sentence is wrong

Almost everybody who starts something goes through these three weeks.

There are barely any exceptions. The people it worked out for went through it too.

You just don't hear about that part, because only the success stories survive.

So nothing happening at week three is **not you being bad at this. It's how it goes.**

What separates people here isn't skill.

> **Do you wait out those three weeks without knowing why, or do you know why and fix it?**

If you don't know why, you just endure until you're tired and quit. If you know why, you can see what to change.

This book is here to tell you why.

◆ What's different from Book One?

In Book One we took apart **other people's companies.** Nike, Netflix, DoorDash, Facebook Marketplace.

In Book Two we take apart **the thing you started.**

Same five boxes, different subject. And it's much harder.

Somebody else's company you look at from outside. **Your own you have to admit something before you can see it.**

Asking *why did I even make this* again stings a bit. It's also the only method there is.

◆ The order this book goes in

Part One is the six walls you actually meet after starting.

Nobody's buying. One person bought and then nothing. There's nothing left over. You fought with your friend. Your parents said no. You can't do this and school.

Part Two is what comes after you get past those.

Once it starts working a little, **somebody shows up copying you.** What you need then is a moat.

Part Three is later still. The thing that was working suddenly stops working. That's what it's about.

◆ Something to say up front

This is not a book that will make you a lot of money.

Teenagers rarely make big money from something they started. That's normal.

This book has one goal.

> **That you don't quit.**

More precisely: **that even if you do quit, you're not left holding "yeah, I'm just not built for this."**

What you tried, where you got stuck, what you'd do differently next time.

If those three things are what's left, that isn't failure. **It's experience.**

And that experience gets used at twenty and at thirty, at a much higher price.

Alright. Let's start. First wall.

Part One · What Actually Happens When You Start

◆ Six walls

The walls people meet after starting, put **in the order you actually meet them.**

Ch	The wall	What you'll figure out
1	Nobody's buying	Who were you selling to in the first place?
2	One person bought and then nothing	Buying once and buying again are different things
3	I did the math and there's nothing left	Your time is a cost too
4	We started together and now we're fighting	The thing you should have settled at the beginning

Ch	The wall	What you'll figure out
5	My parents are against it	The real reason behind the no is usually worry
6	I can't do this and school	Keeping it small is a skill too

The first three are **business problems.** The last three are **your life.**

Business books usually skip the last three. That's strange, because **the last three are why teenagers actually quit.**

Far more people stop because things got awkward with a friend, or because their parents were worried, or because it's exam season, than because the math didn't work.

So this book does both.

Part One

Chapter 1 · Nobody's Buying — That's Normal

◆ You posted it and it's quiet

You worked up the nerve and posted it.

You took the photo, wrote the description, set the price. Then you refreshed about five times in the first hour.

Three views. Two of them were you.

Days go by and it's the same. Nobody asks anything.

This is where most people stop.

◆ The usual thought — my thing must not be good enough

It's the first thing that comes to mind. Better photos. Lower price. Better description.

Half right.

Sometimes the thing is the problem. But something else is far more common.

> **It's not that your thing isn't good. It's that the person who needs it isn't standing where you put it.**

◆ Look at box one again

Chapter 1 of Book One taught you this.

> **Who actually pays?**

What did you answer when you started?

You probably answered *people who need it.*

That isn't an answer. *People who need it* are somewhere out in the world. They're not people who will see your post.

A real answer looks like this.

> **Someone doing ______ who is searching for ______.**

Here's the difference.

- **Not an answer —** people who like stationery
- **An answer —** someone during exam week searching for stickers to decorate their mistake notebook

The second one contains **when, where, and what they were doing** when they ran into your thing. The first one contains none of that.

Without those three, you can't even decide where to post it.

Which is why nobody sees it.

◆ The real reason is usually one of three

When nobody's buying, the cause is almost always one of these.

One, that person isn't standing there.

The person who needs it exists. They just don't come to where you posted. You listed it on a resale app when people look for that thing by searching somewhere else entirely.

Two, they need it but not right now.

You posted a winter thing in summer. You're selling class notes on the day exams ended.

When the timing is off, it doesn't sell no matter how good it is.

Three, it doesn't make sense in three seconds.

People don't look for long. They decide from the title and the first photo. However well you wrote the description, they never scroll that far.

None of these three is **product quality.** All three are **box one.**

◆ One number most people don't know

Knowing one thing makes this a lot easier to sit with.

Whatever you're selling, most people don't buy it. That's normal.

Out of a hundred people who walk into a store, how many do you think buy something?

For an online store, people generally say **two or three out of a hundred, if that.** Depending on what's being sold it can be much lower.

So do the math. To sell to one person, **dozens of people have to see it.**

How many people have you shown it to so far? Three? Five?

It hasn't failed to sell. It hasn't been shown to enough people yet.

◆ Don't ask your friends to buy it

This is the most common move at this point. Asking a close friend for a favor.

It feels better. And **you learn absolutely nothing.**

Your friend isn't buying because the thing is good. They're buying because it's you.

Which means the question *is this a thing that sells* gets no answer.

> **One thing a friend bought isn't a sale. It's support.**

Support is a nice thing to have. It just wrecks your math if you count it as a sale.

When you count numbers, **count only what strangers bought.**

That doesn't mean cutting friends out entirely. Ask them like this instead and they become much more useful.

> "I'm not asking you to buy it. Just tell me what you thought when you looked at it."

Right now you need people who will tell you things more than you need people who will buy.

◆ To sum up

If you were thinking	Try switching to
My thing must not be good enough	Where is the person looking for this right now?

If you were thinking	Try switching to
I should take better photos	Does the title and first photo make sense in three seconds?
Nobody's interested	How many people actually saw it? Did I count?

◆ Sources for this chapter

- The share of online store visitors who actually buy varies by study, but it's generally talked about as **two or three in a hundred.** Depending on the category, the device and where visitors came from, it can be under one in a hundred or much higher. **The exact number matters less than "most people don't buy." Your own number is something only you can count.**

◆ Do This Today

Write one line on paper. Fill in three blanks.

> **Someone doing ______ searches for ______ and runs into mine at ______.**

Example: someone doing **exam revision** searches for **stickers to decorate a mistake notebook** and runs into mine at **a resale app search.**

If you can't fill all three, the blank you couldn't fill is where you're stuck.

Then do one more thing today.

Go to the place you wrote in the third blank and read ten titles other people wrote.

Not to copy them. **Those titles are telling you what people search for.**

Read ten and you'll see immediately how to fix yours.

Chapter 2 · One Person Bought and Then Nothing

◆ How the first sale feels

Finally, one person bought it.

Honestly, in that moment the feeling was much bigger than the money. Somebody paid actual money for a thing you made. That part is real.

That evening you probably got out a calculator. **"If this sells ten a day…"**

Then two weeks passed. The second customer never came.

◆ The usual thought — I guess I got lucky

It's easy to decide the first sale was a fluke. Somebody who knew you bought it. It just happened to land.

Half right.

It might have been luck. But you're missing something more important.

> **One person buying is proof that a person who buys this exists.**

That's an enormous piece of information.

The gap between zero and one is much bigger than the gap between one and a hundred.

Zero means *I don't know if this works.* One means **it works.**

◆ So here's what to do

You have to ask your first customer. Exactly three things.

> **1. How did you find it? 2. Was there anything that made you hesitate? 3. How was it after you got it?**

Ask even if it's embarrassing. Most people answer. When the person who made the thing asks, people are usually pretty nice about it.

Here's what each one tells you.

- **Question 1** tells you where to post more (box one)
- **Question 2** tells you why other people didn't buy (box two)
- **Question 3** tells you whether they'd buy again

Question 2 is the gold one.

The reason a buyer hesitated is almost exactly **the reason non-buyers didn't buy.**

You can't ask the people who didn't buy. You have no way to reach them and they don't care.

But the person who did buy knows the reason.

◆ Buying once and buying again are different

There's a big fork in the road here.

Is the thing you sell **a buy-it-once thing** or **a keep-buying thing?**

	Buy once and done	Keep buying
Examples	Secondhand items · merch · one drawing	Consumables · a monthly thing · a service you keep using
New customers	**Needed every single time**	Stack up
The hard part	Always starting from zero	Getting the first one is hard

If you're selling a buy-it-once thing, **of course** the second customer didn't come. That's what the structure does.

Chapter 8 of Book One taught you this difference through Netflix. Money leaving your account automatically every month and selling something once are completely different structures.

Just knowing which one you're in changes what you do next.

- Buy-it-once → **your job is meeting new customers, continuously**

- Keep-buying → **your job is making one person come back**

Those are entirely different jobs. Mix them and neither works.

◆ How to make a buy-it-once thing come back

Even selling a buy-it-once thing, there are options. One of these three usually works.

One, tell them what's next.

Saying "there's a new one next week" at the moment of the sale is enough. People don't come back because they forgot, not because they didn't like it.

Two, make something that goes with it.

If they bought stickers, there should be something that matches those stickers. Somebody who bought once buys a second time **far more easily than a first-time buyer does.**

Three, sell something that runs out.

A thing that disappears as you use it has to be bought again. A thing that doesn't disappear doesn't.

At the same price, **the one that runs out is much easier as a business.**

If none of the three works, it really is buy-it-once. Then accept it and **spend your time meeting new customers.** That's just what that job is.

◆ Don't count until you get to ten

One more thing.

After the first customer you're going to want to project revenue. **Let's not.**

Sell one and calculate *ten a day means this much a month,* and when that number doesn't happen you'll be badly disappointed.

And that disappointment becomes the reason you quit.

Until you hit ten people, don't count — just ask.

Once you've asked all three questions of ten people, what you'll see isn't a calculation. **It's a pattern.** That's far more useful.

◆ To sum up

- One is completely different from zero. **It's proof it works.**
- Ask your first customer **how they found it and what made them hesitate.**
- **Start by identifying** whether it's buy-once or keep-buying.
- **Until ten, don't count — just ask.**

◆ Do This Today

Message your first customer with this one sentence.

> **"Could I ask how you found it? Just trying to learn for next time."**

Asking one person is enough. That single answer is far more accurate than everything you've been guessing at on your own.

And when the answer comes, write it down on paper.

When ten of those pile up, that's the map of your business.

Chapter 3 · I Did the Math and There's Nothing Left

◆ I sold things. Why is my balance the same?

You sold a few. And something's off. Money came in, but there isn't much left.

So you did the math.

- Sold for: $8
- Materials: $3
- **Left over: $5**

That seems fine? Except something still isn't adding up.

You bought packaging. You paid for shipping. Two of them came out wrong. And it took two hours to make.

Run it again and there's almost nothing left.

◆ The usual thought — I'll just raise the price

Raising the price is the first thing that comes to mind. Make it $12 instead of $8.

Half right.

You can raise the price. But raising it makes some people not buy. And **if you can't explain why it costs more,** it just stops selling.

There's something to do first. **Know your real cost.**

◆ Three costs nobody counts

There are three costs almost always missing from something a teenager made.

One, the ones that came out wrong.

If you made ten and wrecked two, the materials for those two have to be paid for by the eight that worked.

Make ten at $3 of materials each and sell eight, and your actual material cost per item isn't $3. **It's $3.75.**

Two, the supplies you don't see.

Packaging, envelopes, stickers, shipping boxes, tape.

Each one is pennies, and added up they sometimes come to as much as the materials.

The mistake people make most is **not counting things bought in bulk.** Buy 100 sheets of wrapping for $5 and each sheet is 5 cents. It isn't free.

Three — and this is the biggest one — your time.

Two hours to earn $5 is $2.50 an hour.

Don't misread this. **The point isn't to argue about your hourly rate.** You're learning right now, so a low rate is fine.

The point is this.

> **If you don't count your time, you have no reason to look for ways to spend less of it.**

The moment time goes into the cost, a question appears.

"How do I make two of these in an hour instead of one?"

That question changes a business.

◆ Let's actually run it

Put in a table it looks like this.

Item	Did you count it?
Materials	Usually yes
The ones that came out wrong	Often missed
Packaging and supplies	Often missed
Shipping	About half the time
Your time	Almost always missed

The first four added together is your **cost.** The sale price minus the cost is **what's left.**

And what's left divided by the hours it took gives you **how much an hour.**

That number is going to be terrible at first. That's fine.

What matters is knowing the number, not whether the number is big.

◆ Three things to do when there's nothing left

One, cut the time.

Making several of the same thing at once cuts the time dramatically. Making ten in one batch is far faster than making one ten times.

That's the **economies of scale** you learned in Book One. Chapter 7 in Part Two goes into it properly.

Two, buy materials differently.

Buying one at a time is expensive. Buying several at once is cheaper.

But **buying a pile of something that won't sell is a loss,** so do this after you've confirmed it sells.

Three, raise the price.

This one is last. And if you're raising it, **you have to hand over the reason along with it.**

Better packaging, one extra thing in the box, showing how it gets made.

Raise only the number and it stops selling.

◆ So how do you set a price?

There are three ways to set a price, and which one you use changes the answer completely.

Method	How	The problem
Cost plus	Materials + some amount	Your time drops out easily
Matching others	Around what other people charge	If they're losing money, so are you
Pricing on worth	What it's worth to the buyer	You have to ask to find out

Most people use the first or the second. **The third is the most accurate.**

Say you organize somebody's mistake notebook for them. Materials cost roughly nothing. Price it the first way and it comes out extremely cheap.

But from the buyer's side, this is **two hours they get back.** What those two hours are worth is the real price.

> **Cost sets the floor. Worth sets the ceiling. Your price has to live somewhere in between.**

Below the floor you lose money every time you sell. Above the ceiling nobody buys.

◆ To sum up

- Materials alone are not your cost. Add **the wrecked ones, the supplies, and your time.**
- Don't count your time and you'll never have a reason to reduce it.
- When nothing's left, work in this order: **time → materials → price.**

- A terrible number at the start is normal. **Knowing it comes first.**

◆ Do This Today

Pick the last thing you sold and fill in the table.

```
Sale price            $ ________
Materials             $ ________
Share of wrecked      $ ________
Packaging/supplies    $ ________
Shipping              $ ________
______________________________
Left over             $ ________
Hours it took           ________ hours
Per hour              $ ________
```

Don't erase it if you don't like the numbers.

Almost no teenager has ever filled this table in once.

Then look at the last line and think about one thing.

> **What would I have to change to cut the time in half?**

If an answer comes, that's what you do next.

Chapter 4 · We Started Together and Now We're Fighting

◆ We started this with my best friend

When you agreed to do it together it was genuinely great.

You came up with ideas together, the roles split themselves naturally, and it was all you talked about between classes.

Then about two months in, it turned into this.

- They haven't really been doing much lately
- But we agreed to split the money evenly
- And if I say something it's going to get weird
- So I don't say anything
- And then I stopped wanting to do it either

And you both quietly stopped. **And things did get a little weird.**

◆ The usual thought — I picked the wrong person

After a fight you blame the person. They're lazy. They don't keep their word.

Half right.

Sometimes that's it. But this is much more common.

> **The person isn't the problem. Nothing was ever settled.**

You didn't decide anything at the start.

Not who does what. Not what happens if somebody doesn't. Not how the money splits. Not what happens if somebody quits.

Nothing was settled, so all of it turns into **a feelings problem** later.

They're not doing anything isn't a fact. It's an emotion.

◆ Four things you should have settled at the start

There's a ten-minute conversation to have when you start something together. Four items.

One, who does what?

Both of us, together is not a role. It becomes **the thing nobody does.**

Split it at least as far as "I make them, you post and answer messages."

Two, how does the money split?

Evenly is the most common, and evenly isn't always fair.

If one person paid for materials, that gets paid back first and the rest gets split.

What matters isn't how you split it. It's deciding beforehand.

Three, what happens if somebody doesn't do their part?

This is the most important one and nobody sets it.

Something like *if you're too busy to do it for two weeks, you don't take a share for those two weeks.*

Set in advance, it's a rule later instead of a fight.

Four, what happens if somebody wants out?

Quitting isn't the bad part. Disappearing without saying anything is.

One line does it: *if you want out, say so a week ahead.*

◆ Adults have exactly this problem

This isn't a teenager thing.

The most common reason adult partnerships blow up is identical.

Which is why adults write something called a **partnership agreement.** The four things above are what goes in it.

You don't need an actual contract.

Four lines in the group chat with both of you saying "yeah" is the contract.

When it gets murky later, you go back and read the messages.

Memories differ. The message is one thing.

◆ If you already fought

What if it's already weird?

Talk about the people before you talk about the business.

Better than "let's figure out what we're doing with this" is "things have felt weird between us and honestly that bothers me more."

And this one sentence works surprisingly well.

> **"I think it's because we never settled anything at the start. Want to settle it now?"**

That sentence doesn't blame anybody.

It says **neither of us did anything wrong and the setup was the problem.** Which makes it easy to accept.

◆ Would it be better alone?

Honestly? **Alone is easier.**

Nothing to negotiate, nothing to fight about, everything your way.

But alone, **a lot of people don't last.** There's nobody to sit in the bad stretch with you. And the day you stop finding it fun by yourself, it's over.

There's no right answer. This much is certain, though.

> **If you're doing it together, settle things before you start. If you're doing it alone, line up one person you can talk to when it isn't working.**

A friend, a sibling, a parent. Not somebody to help you sell — **somebody you can say "nobody bought anything again today" to.**

◆ One piece of paper does it

This isn't a grand contract conversation. **Four lines is plenty.**

> **Who does what: ______ How the money splits: ______ Who decides when something has to be decided: ______**

> **What happens if one of us quits: ______**

Suggesting this feels awkward. *Do we really need this, between us?*

But the awkward part is five minutes now. Not settling it makes several months awkward later.

And saying it this way isn't awkward at all.

> "I'm not trying to set up an argument. I just don't want us to forget."

Put the **fourth line** in especially. It's the least written and the most fought over.

When one person gets busy and drops out, what happens to what you earned up to then?

Decided in advance, it's a rule. Decided afterward, it's a fight.

◆ To sum up

What happens when nothing's settled	When it is
"They're not doing anything"	"That was your part" — it becomes a fact, checkable
"Splitting the money is awkward"	Already decided
Somebody quietly disappears	A week's notice was agreed
The friendship gets weird	It's a rules conversation, so fewer feelings get hurt

◆ Do This Today

If you're doing this with somebody, send four lines to the group chat.

> **1. I do ______ and you do ______. 2. The money splits ______. 3. If somebody can't do it for a while, we ______. 4. If you want out, say so ______ ahead.**

Just say "figured it'd be easier later if we set this now."

You'll worry it's awkward. It's much better than getting awkward later.

If you're doing this alone, do this instead.

Pick one person you'll talk to when it isn't working, and tell them where things stand today.

Chapter 5 · My Parents Are Against It

◆ "You could be studying instead of doing that"

You worked up the nerve and told them.

"I want to try doing this."

And what came back was that. **"You could be studying instead of doing that."**

It stings. You thought they'd be behind you.

And from that day you do it secretly. Doing it secretly makes you more self-conscious, being self-conscious drains the fun out of it, and then you stop.

◆ The usual thought — they just don't get it

The first thing you think is that your parents are from a different era and don't understand how things work now.

Half right.

They might not. But that's usually not the real reason behind the no.

> **A no doesn't come from not understanding. It comes from worrying.**

Worrying about what? Usually these three.

One, that you'll get scammed.

Selling something online means, to a parent, **money moving between you and strangers.** And that does sometimes go wrong.

Two, that you'll drop school.

They think grades slipping now is hard to reverse. That worry actually has evidence behind it.

Three, that you'll get hurt when it doesn't work.

They rarely say this one out loud, and it's often the biggest reason.

All three are "I'm worried about you." None of them is "I don't want you doing this."

◆ So stop persuading and start reassuring

You have to change direction here.

Trying to persuade produces sentences like "this could actually work" and "I could make money."

Those make the worry worse. *I'm going to make a lot* sounds, to a parent, like *I could lose a lot.*

Go toward **reassuring** instead.

Persuading (doesn't work)	Reassuring (works)
"This is real money"	"The money's tiny. But I'm learning a lot"
"I've got it handled"	"I've capped it at 30 minutes a day"
"Everyone does this now"	"I never meet strangers in person for it"

Persuading (doesn't work)	Reassuring (works)
"Just trust me"	"I'll try it this month and stop if my grades drop"

See what the right-hand sentences have in common?

Every one of them sets a limit before anybody asked.

State the limit yourself and your parents **feel less need to control it.**

I've got it handled says there is no limit, which makes them more anxious, not less.

◆ How to get them on your side

This one is a little surprising, and it works well.

Give your parents a role.

- Ask them to come with you when you post a package
- Ask what they think when you're setting a price

- Give them the first one you made and ask for their honest opinion

Somebody who was against it **becomes an ally once they're involved.**

And parents are adults, so they actually know things you don't. A sense of what things should cost, how to handle a difficult person — that help is real.

◆ Sometimes the no is correct

Something has to be said honestly.

Sometimes your parents are right.

- Exams are two weeks away and you're up all night making things — that's a real problem
- You're planning to meet a stranger alone — that's dangerous
- You took money up front and haven't made the thing — that's a mess

When they block those, it isn't because they don't understand. **It's because it genuinely needs blocking.**

And as Chapter 3 showed, most things a teenager does bring in very little money.

Losing something that matters over that is a bad trade.

◆ If it's still no, buy time

If they hold the line, try this.

> **"Can I try it for one month and then talk about it again? If my grades drop or it goes over 30 minutes a day, I'll stop first."**

A deadline makes it much easier to agree to. It isn't forever. It's a month.

Then during that month, **actually keep the promise.** That makes the next conversation dramatically easier.

Trust is built from kept promises, not from words.

Same principle as the intangible assets in Chapter 10.

◆ Three sentences you can use exactly as written

A lot of these conversations become fights because the words don't come. Use these three as they are.

One — when you're starting:

> "It's less about making money and more that I want to see what happens. I'll try it for a month and wrap it up if it doesn't work."

Saying the timeframe first cuts the worry sharply. **A thing with an ending is less frightening.**

Two — when grades come up:

> "If my grades drop, I'll stop. And I'll be the one to say so."

That's putting a condition on yourself. Keep it and the trust builds fast.

Three — when money comes up:

> "Here's what's gone out and what's come in, written down."

Nothing reassures like showing the numbers. **This is where the math from Chapter 3 gets used.**

See what the three have in common?

In all of them you draw the line first. A no gets stronger mostly when there doesn't appear to be a line.

◆ To sum up

- The reason is usually one of three: **scams, school, getting hurt.** All worry.
- **Don't persuade. Reassure.** State the limit yourself.
- Give them a role and the opposition turns into an ally.
- **Sometimes they're right.** Especially about safety and about promises.
- If it's still no, **set a deadline and buy time.**

◆ Do This Today

Say these three sentences to your parents. In order.

> **1. "The reason I'm doing this isn't money, it's ______." 2. "I've decided on ______ minutes a day, maximum." 3. "Could you help me with ______?"**

The third one is the key. **It's hard to be against something you're helping with.**

And if they already said no and you've been doing it secretly, tell them today.

Secret doesn't last, and getting caught goes much worse.

Chapter 6 · I Can't Do This and School

◆ Everything stopped during exams

It was going fine.

Then exam season arrived. You put it down for two weeks.

After exams you opened it again and there were three messages waiting, all of them old. Replying now would be embarrassing.

And that was that.

This is the most common way a teenager quits. Not by deciding to quit — **by not picking it back up.**

◆ The usual thought — I need to manage my time better

You decide to redo your schedule. Get up early to work on it, use the gaps between classes.

Half right.

A better plan helps a bit. But exam season comes again. So do holidays, and projects, and the weeks you're sick.

> **The problem isn't time management. You built something that dies when you stop.**

◆ Rebuild it so stopping doesn't kill it

This is the heart of the chapter.

If it only runs when you touch it every day, **it stops every time you get busy.** And a few stops end it.

There are three ways to build something that survives a pause.

One, make things in advance.

Instead of making it when an order arrives, make several while you're free.

Then an order during exams takes ten minutes, because all you do is send it.

And as Chapter 3 showed, **making several at once takes less time anyway.** Two birds.

Two, write your answers in advance.

Don't compose a fresh reply every time. Write down answers to the questions that keep coming.

- How long does shipping take?
- Can I get a different color?
- Can I return it?

Three notes saved somewhere turns a reply into thirty seconds.

Three — this is the important one — say it in advance.

Put one line in your profile or your post.

> **"Replies are slow during exam season (dates)."**

That one line doesn't make three messages disappear. **It turns them into three messages that will wait for you.**

People don't mind being kept waiting. **They mind not knowing.**

◆ Staying small is a skill too

Here's a slightly different point.

A lot of people think a business has to keep growing. So when it doesn't grow, they feel like they failed.

That's wrong.

Book One looked at dollar stores and at Dunkin', but there are far more businesses in the world that **deliberately don't grow.**

Think of the shops in your neighborhood that have been there for decades. Those people didn't fail to open a second location. **They chose not to.**

A second location means hiring people, managing them, borrowing money. They didn't want that, and that choice is why they're still there.

For you this matters even more.

You're a student. If this gets big now it genuinely collides with school. Then you have to drop one of them, and for a teenager that's not a good choice to be facing.

> **Staying small isn't failure. It's a decision. And right now it's probably the right decision for you.**

◆ How much is about right?

Here's one benchmark.

> **If it fits in three hours a week, you can keep doing it.**

Once it starts running past three hours, it collides with something. Then you shrink it, or you cut the making time, or you take a break.

Try aiming to hold it inside three hours rather than to grow it.

And in exchange, **do it for a long time.**

Three hours a week for two years leaves you far more than three months of going hard and stopping.

◆ You're not quitting, you're pausing

One last thing.

When a stretch arrives where you genuinely can't, **pause instead of quitting.**

There's exactly one difference between them.

Quitting	Pausing
You just stop	**You decide when you come back**
Restarting later is awkward	You just open it again that day
"Yeah, I'm not built for this" stays behind	Nothing stays behind

Put "back in March" in your profile and close it, and you didn't quit.

And that one line is what brings you back later.

◆ How not to be forgotten while you're away

Stopping is fine. People forgetting while you're stopped is the problem. Two things prevent it.

One, say it before you stop.

> "Taking two weeks off for exams. Back on the 14th."

Disappearing without saying anything and pausing with a date on it are completely different.

The first one is gone. The second one is **scheduled.**

Two, leave the return date somewhere visible.

That one line hanging where you normally post is enough. People read it as *still going*.

And one more thing. You don't have to do anything while you're away, but **doing one thing makes coming back much easier.**

> **Right before you pause, write down the next three things you were going to do.**

You in two weeks will not remember what you were in the middle of. Without those three lines you come back, stall on figuring it out, and drift off again.

◆ To sum up

- Teenagers don't quit by deciding to. They quit **because they stopped.**
- **Make in advance, write your replies in advance, say it in advance.**
- Staying small isn't failure, it's a decision.
- Hold it inside **three hours a week** and it can last.
- When you can't, don't quit **— pause, with a date.**

◆ Do This Today

Two things.

One. Write down the three questions you get most and their answers. From your next message on, you copy and paste.

Two. Put this line in your profile or your post.

> **"Replies are slow during ______."**

And fill in your next exam period ahead of time.

Do those two and the next time you get busy, **it slows down instead of stopping.** That difference is bigger than it looks.

Part Two · What Can Only I Do?

◆ Once it starts working, somebody copies you

Say you got past Part One's walls. It's selling a bit now.

Then this happens.

Somebody in your class starts the exact same thing.

Cheaper, or nicer-looking, or just identical.

It stings. And there's nothing you can say, because there's no way to stop it.

What you need here is **a moat.**

Book One explained it like this.

> A ditch dug around a castle so attackers can't get across.

The question Part Two asks is this.

> **Somebody showed up copying me. Why am I still standing?**

If there's an answer, you have a moat. If there isn't, you don't.

◆ There are five of them

The moats in the world come in five kinds. Same for adult companies.

Ch	Moat	At teenager scale
7	Economies of scale	Doing a lot makes it cheaper
8	Network effects	Friends bring friends
9	Switching costs	Moving is a hassle
10	Intangible assets	There's a reason people buy from them
11	Cost advantage	I can just do it cheaper

Every chapter ends with **"so what happens when somebody copies you?"**

That's the only way to check whether a moat is real.

◆ Something to say up front

You don't need all five. **One is enough.**

And it's fine if you have none right now. **A moat isn't something you have at the start. It's something that builds up while you go.**

There's exactly one reason to know these five.

> **So you can pick which direction to stack in.**

Work hard in no particular direction and nothing accumulates. Know the direction and the same effort stacks.

Chapter 7 · Doing a Lot Makes It Cheaper — Economies of Scale

◆ Making one versus making ten

Anybody who has made something knows this already.

Thirty minutes to make one does not mean five hours to make ten.

Getting the materials out, setting up the space, cleaning up — that happens once.

Make ten in one sitting and it might take two hours.

Per item, thirty minutes just became twelve.

That's economies of scale. The more you do, the cheaper each one gets.

◆ The usual thought — that's a big-company thing

Say "economies of scale" and people picture factories and container ships. Nothing to do with you.

Half right.

It does show up biggest at big companies. But **size isn't the point.**

> **Economies of scale appear any time there's a cost you only pay once.**

What you saved making ten at a time is exactly that. Setting up the space happens once whether you make one or ten.

◆ Where it's hiding

In the things teenagers do, the pay-it-once costs live here.

One, setup and cleanup time. Getting things out and putting them away has nothing to do with quantity.

Two, learning time.

You learn by making mistakes on the first one. That learning is free from the second one on.

Which is why the tenth one comes out far better than the first.

Three, what the materials cost. Buying singles is expensive, buying several is cheaper. Everybody knows this one.

Four, photos and descriptions.

Shoot it well once and you use it forever. Sell ten of the same thing and you shoot the photo once.

◆ But the risk grows with it

Here's the trap.

If cheaper is better, why not make a hundred?

Because if they don't sell, all hundred are a loss.

There's a company in the adult books that handles this well. It puts out thousands of new styles, and **makes only about a hundred of each one at first.**

If a style sells, it makes more. If it doesn't, the loss stops at a hundred.

"Making it cheap" and "the risk it doesn't sell" point in opposite directions.

So the rule is this.

> **While you don't know if it sells, few. Once selling is confirmed, many.**

◆ Warning signs on a group buy

Buying together really is cheaper. Done wrong it's a loss. If any one of these applies, run the numbers again.

One, the leftovers are yours.

Order ten, deliver eight, and the two left over are your money. The leftovers eat everything the discount saved.

> **The rule is you order after you've collected all the orders.** Order first and sell after, and from that point it's

> gambling.

Two, you're the one paying up front.

If the amount is large this is genuinely risky, because somebody always changes their mind.

Collect, then order. Never flip that order.

Three, your time isn't being counted.

Collecting, counting, dividing, handing out. That's all cost (Chapter 3).

Save fifty cents an item and lose three hours and you didn't come out ahead.

◆ So what happens when somebody copies you?

Now the real question of this chapter.

Somebody in your class started the exact same thing. With economies of scale, what happens?

You have the advantage. They're new, so each item takes them much longer.

You've made ten already, so you're fast, your materials are cheaper, and you have the photos.

If they sell at your price, **they lose more than you do.**

But this moat is weak. They'll make ten too, and catch up.

How long does it hold?	**Weeks to months**
Why is it weak?	Repetition makes them just as fast
What defends it?	Build **a second moat** during that window

Which makes economies of scale **a moat you should never use alone.**

It buys you time. It doesn't hold the line forever.

◆ To sum up

- Economies of scale appear wherever there's **a cost you only pay once.** Size is irrelevant.
- For a teenager they hide in **setup time, learning time, material costs, and photos.**
- Getting cheaper also **grows the risk of not selling.** Scale up after it's confirmed.
- When somebody copies you, **you're ahead briefly and you can't hold it.**

◆ Do This Today

Make **five at once** of whatever you're making. Not one five times — five in one sitting.

And time it.

> One at a time: ______ minutes each Five at once: ______ minutes each

If there's a gap, that's your economies of scale. Now confirmed with a number.

Then think about one more thing.

> **What are you going to build with the time you just saved?**

The time economies of scale bought you has to go into stacking another moat.

The next four chapters are about those.

Chapter 8 · Friends Bring Friends — Network Effects

◆ Why does everyone use the same app?

Think of one messaging app.

Honestly, is it the best-made app out there? Probably not. There's definitely something prettier with more features.

So why do you use it?

Because your friends are all on it.

Move to a different app alone and you can't talk to anybody. However good the app is, it's useless if you're the only one there.

That's a network effect. The more people use it, the more it's worth, by itself.

◆ The usual thought — you just need lots of people

It's easy to think popular means network effect.

Half right.

Popularity and network effects are different things. There's exactly one test.

> **When one more person shows up, does anything get better for the people already there?**

Think about a popular YouTube channel.

Does one more subscriber make things better for the existing subscribers? No. **That's popularity, not a network effect.**

Now a resale app. More people means **more things for sale and more people buying.** It genuinely gets better for everyone already there.

That's a network effect.

◆ What does it look like at teenager scale?

Can you build one? You can. Small ones.

One, things used together.

If what you made **gets better when several people use it,** you have a network effect.

- A shared class timetable
- A group that works through problems together
- People drawing things for each other and trading

Useless alone, better with several. All of these qualify.

Two, a pile of things in one place.

Sell one secondhand item and nobody comes. Have a hundred and people show up **just to browse.**

Lots of items brings people, people coming makes others bring items to sell, and so there are more items.

Once that starts turning it's strong.

Three, reviews and records.

As transaction reviews stack up, new people come in trusting it. More people means more reviews, and more reviews means more people.

◆ The real problem with this moat — the beginning is brutal

Network effects are strong and the start is the hardest part.

Nobody comes because nobody's there. Chicken and egg.

Adult companies punch through this with money. They lose money early to gather people.

You don't have that money. So you do it differently.

Start narrow.

Don't aim at the whole school. Start with **your class.** Don't aim at the country. Start with **your neighborhood.**

Book One looked at Facebook Marketplace at the end. That thing's power comes from **being nearby.**

Because it's your area and not the whole country, it's dense enough even with few people.

> **Full inside a small area beats empty inside a big one, by a lot.**

◆ It has a boundary

One thing to know.

Network effects have **a boundary.** And that boundary is your ceiling.

A network built in your class doesn't leave your class. When classes change, you start over.

That isn't bad, it's just what it is. You do have to know it, though.

> **This moat is very strong inside its boundary and travels badly outside it.**

◆ How to tell the real thing from a fake

A lot of things look like a network effect and aren't. Test them this way.

> **When one more person shows up, does it get better for the people already there?**

If yes, it's real. If it changes nothing, you just have **a lot of people.**

Situation	One more person	Real?
A room where people post problem solutions	More gets posted	**Real**
A room connecting buyers and sellers	More people to trade with	**Real**
A room where I sell what I make	Nothing changes for existing people	No

The third row isn't bad. It just means **more people doesn't make it stronger on its own.**

That's promotion, not a moat.

There's a reason to tell them apart.

If it's real, the painful beginning is worth sitting through. If it isn't, you'd be better off spending that time making the thing better.

◆ So what happens when somebody copies you?

Somebody in your class started the identical group. What happens?

You're way ahead, because the people are already on your side.

Going to the new group means **everybody** has to move, and that rarely happens.

One or two move, find it empty over there, and come back.

How long does it hold?	**Quite a while** — one of the stronger five
When does it break?	When people get a reason to move **all at once**
Watch out for	People using **both** — that thins the effect

That last row matters.

If people use your group *and* the other one, your moat is halved.

It stops being "this is the only place" and becomes "this is also a place."

◆ To sum up

- Popularity and network effects differ. Test with **does one more person help the people already there?**
- At teenager scale it shows up in **things used together, a pile in one place, and reviews.**
- The start is the hardest part. So **start narrow.**
- It has a boundary. Strong inside it, weak outside it.
- **It thins the moment people start using both.**

◆ Do This Today

Put this question to what you're doing.

> **When one more person shows up, does anything get better for the people already there?**

If you answered **yes,** show people the thing that's getting better. Even just writing "there are ___ of us now" changes things.

If you answered **no,** think about one more thing.

> **How could I make it better when several people do it together?**

For example, if you're selling something people use alone, you could make **a place where the people who bought it gather.**

The moment that place exists, a network effect starts.

Part Two

Chapter 9 · Moving Is a Hassle — Switching Costs

◆ Why can't you delete that game?

There's probably a game that isn't as fun as it used to be.

Honestly you open it out of habit now. And you can't delete it. Why?

Because you'd be throwing away everything you built.

Levels, items, your login streak, the people you play with. Go to a new game and all of it starts at zero.

That's a switching cost. What you'd have to abandon to move.

◆ The usual thought — it's a contract thing

Say "switching cost" and people picture contracts and cancellation fees. A two-year plan.

Half right.

Something built out of a contract disappears when the contract ends. And people **feel it clearly as a cost.** Which makes them annoyed.

The genuinely strong switching costs aren't written in any contract. They're one of three.

Kind	What you'd have to give up
Learned	The way your hands already know, familiarity
Accumulated	Records, history, reviews
Blocked	The exit itself

And up front: **the third is the weakest.**

◆ How do you build one at teenager scale?

One, accumulate records for them.

If you make things for people, **write down their stuff.**

- What they liked last time
- Their size or their taste
- What they asked you to fix

Next time they come, saying "you liked that one last time, right?" makes them not want to go anywhere else.

Because somewhere else they'd have to explain from scratch.

That's the best switching cost money can't buy. **A notes app is all it takes.**

Two, make it continue.

Instead of buy-once-and-done, build something where **the next one follows.**

- Make it a series (buying #1 makes you curious about #2)
- Give it something collectible
- Give buyers something only buyers see

Then moving somewhere else in the middle **breaks the set they were building.**

Three, make it familiar.

Once somebody is used to your way, that's a switching cost too. Ordering is easy. Replies come fast.

Going somewhere else means adjusting again, which is a hassle.

◆ Don't do the blocking kind

Don't do the third kind, **blocking.**

- Refusing refunds
- Taking money up front and not letting go
- Grabbing at people who want to leave

It works for a moment. And **people get angry.**

And angry people write reviews. Among teenagers, that gets around in a day.

> **What you build by blocking is short. What you build by giving is long.**

Adult companies are the same. There's a farm equipment company in the adult books that made its machines repairable only at its own dealers.

Farmers pushed back, it turned into lawsuits, and one US state passed a law requiring them to open it up.

The thing they blocked ended up being the evidence against them.

◆ Three ways to make things accumulate

Switching costs come, in the end, from **accumulated things.** At teenager scale, these three.

One, let records accumulate.

If you remember what somebody bought and what they liked, going somewhere else means explaining from scratch.

> "Want it in the same color as the last one?"

That sentence is a switching cost. **Nobody else can say it.**

Two, let customization accumulate.

Their name on it, the size adjusted, their preferences learned. The more it's fitted to them, the more of a hassle moving is.

Three, make things match.

Keep releasing things that go with what they already bought, and buying somewhere else means it doesn't match.

That one is fairly strong.

What the three have in common is **they get stronger with time.**

Which is why starting today matters. Start tomorrow and you have a day less.

◆ So what happens when somebody copies you?

Somebody in your class sells the identical thing cheaper. What happens?

Your customers with records built up mostly don't move.

Moving means explaining again, breaking the set, adjusting again. **Slightly cheaper isn't worth throwing all that away.**

How long does it hold?	**A long time** — it strengthens as it stacks
When does it break?	When you raise the price **too far**
Watch out for	Building it by blocking backfires

That second row matters.

With a switching cost, you can raise the price some and people stay.

But **raise it past the point where relearning is worth it** and they go.

The size of the switching cost is exactly how far you can raise the price.

◆ To sum up

- Switching costs come from **learned, accumulated, and blocked.**
- Teenagers can build them with **records, continuation, and familiarity.** All free.
- **Don't do the blocking kind.** Short win, long loss.
- This moat **gets stronger as it stacks.** Starting today is fine.

◆ Do This Today

Make one note file and write this in it.

```
Customer name (or nickname)
- Bought:
- Liked:
- Note for next time:
```

Write down everybody you've sold to. Three people is fine.

Then next time that person comes, say **"you did ______ last time, right?"**

That one sentence is where a switching cost starts.

And it's the only moat you can start today, for free.

Chapter 10 · There's a Reason People Buy From Them — Intangible Assets

◆ Same thing, and people buy it from them

There's usually one person like this.

They sell the exact same thing and people buy from them specifically. Not cheaper. Not better.

Ask why and everybody says roughly the same thing.

"They're reliable."

What is that? It isn't the product and it isn't the price. **Something you can't see that has a price attached to it.**

We call it an **intangible asset.** An asset with no shape.

◆ The usual thought — I need to promote more

You decide you need to raise your profile. Post more. Grow the account.

Half right.

Promotion makes people aware. **Promotion does not make people trust you.**

> **Trust comes from the accumulated experience that this person is always like this. And one break takes it down.**

◆ This moat is the opposite of the other four

Here's something important.

The first three moats got stronger **the more you did.** Make more and it's cheaper, more people makes it stronger, longer use makes leaving harder.

Intangible assets are the reverse. Grow in a hurry and it gets weaker.

Because this moat is built out of **the number of promises you kept.**

Take on more orders than you can handle and you start breaking promises, and what you'd stacked up gets cut down at once.

> **The other moats you build by growing. This one you build by keeping.**

◆ Three intangible assets a teenager can build

One, a record of hitting the date you promised.

Saying "you'll have it by Wednesday" and handing it over on Wednesday. Do that ten times and it's an asset.

And it has nothing to do with how good you are at making things. It's the only one you can start stacking today with no skill at all.

Two, how you behave when you get it wrong.

Here's the paradox. **Trust builds more when things go wrong than when they go right.**

Saying something ahead of time when you're late. Admitting it and remaking it when you made it wrong.

People don't remember that you made a mistake. **They remember how you handled it.**

Three, deciding what you don't do.

Being able to say "I don't sell that" is an asset too.

Somebody who is clear about **what they won't do** reads as more trustworthy than somebody who sells anything.

◆ It can only be bought with time

The strongest thing about this moat is this.

Money can't buy it. Only time can.

Somebody with a hundred times the money can show up and still not buy **a record of a hundred kept promises.**

That only exists if you kept a hundred of them.

Same in the adult world. There's a passage in the adult books about this — Japan has a great many businesses over a hundred years old, and a few over a thousand.

The power of a place like that isn't capital. **It's what accumulated.**

That money can't buy it is both frightening and good.

Frightening, because you can't create it today. **Good,** because if you start today it starts stacking today.

◆ It can also collapse in one go

Intangible assets have a feature the other four don't.

It takes a long time to stack and one day to lose.

Scale and cost survive one mistake. Trust doesn't.

- Missing a date you promised
- Not answering when there's a problem
- Insisting you didn't do it

Any one of those and months of stacking goes at once.

And that story travels much faster than a good one.

Which is why anybody holding this moat needs one rule.

> **Decide in advance what you'll do when you get it wrong.**

Something like this.

> "If I'm going to be late, I message first. If there's a problem, I remake it or give the money back."

Decided in advance, you don't wobble in the moment.

And strangely, **one problem handled well builds more trust than ten times with no problem at all.**

◆ So what happens when somebody copies you?

Somebody arrives selling the same thing cheaper and prettier. What happens?

Your regulars mostly don't move.

Nobody knows yet whether the new person keeps promises. Cheap is certain. Reliable is uncertain.

People don't like that uncertainty.

How long does it hold?	**Longest** — the strongest of the five
How long to build?	**Longest**
When does it break?	**The first time you break something badly**
Watch out for	Growing too fast and failing to keep promises

Remember that last row. It comes back in Chapter 16 in Part Three.

What destroys an intangible asset is usually not a competitor. It's your own appetite.

◆ To sum up

- An intangible asset is **trust.** Promotion doesn't build it.
- Unlike the other moats, it stacks **by keeping, not by growing.**
- Teenagers build it with **hitting dates, how you act when wrong, and deciding what you won't do.**

- **Money can't buy it, only time can.** That's why it's the strongest.
- Start today and **it stacks from today.**

◆ Do This Today

Two things.

One. Next time you promise a date, **give yourself a day of slack.**

If Wednesday looks doable, say Thursday and deliver Wednesday. **Early lands much bigger than late costs.**

Two. Count how many promises you've kept so far.

```
Delivered on the promised day:    ______ times
Late:                             ______ times
Said so in advance when late:     ______ times
```

The third line is the important one. **Being late gets erased. Saying so in advance stays.**

Small numbers are fine. Three is fine.

Having counted at all means you're paying attention from now on.

Chapter 11 · I Can Just Do It Cheaper — Cost Advantage

◆ Everyone else has to buy it. You already have it.

This happens sometimes.

You're both making the same thing and **only you already have the materials.**

- Your dad does woodworking, so there are always offcuts around
- Your mom runs a salon, so there's leftover supply
- Your older brother's old equipment is just sitting in the house

What everyone else has to buy, you don't. **So at the same price, more of it stays with you.**

That's a **cost advantage.** Being able to do the same thing cheaper by default.

◆ The usual thought — isn't that just being big?

Chapter 7 said doing a lot makes it cheaper. So isn't this the same thing?

It's different.

Chapter 7 gets cheap **by doing a lot.** This chapter is cheap **to begin with.**

> **Sometimes small is still cheap. That's a cost advantage.**

And it's a far more realistic moat for a teenager. You may not be able to make a lot, but being cheap by default is available.

◆ There are three ways

One, what costs others money is free for you.

The case above. The materials are already there, or the equipment is, or the space is.

Here's the important part. **Your time counts here too.**

An adult doing this loses the wages they'd have earned in that time. That's a cost.

You weren't doing anything with that time anyway.

So a teenager's time costs less than an adult's. That is a genuine advantage.

Two, get cheap by doing less.

Fewer menu items, one color only, one shipping method only.

Fewer choices means lower cost. You buy one kind of material, nothing gets confusing, and mistakes go down.

While everybody else does ten things, you do one thing really well.

Three, build it differently on purpose.

Find the biggest cost and remove it entirely.

If shipping is the biggest cost, switch to **handing it over in person.** If packaging is the biggest cost, switch to **selling it unpackaged.**

That isn't saving money. **It's redesigning.** Which is why it's the strongest.

◆ Something has to be said, though

Cost advantage has an honest weakness.

It's the fastest of the five to get caught.

Once somebody knows how you're doing it cheaply, they do it too. Even having materials at home evens out if they find a cheap source.

So this moat **doesn't hold for long.**

There's exactly one case where it does.

> **When copying it would cost the copier something.**

For example, if you got cheap by doing less, copying you means **giving up things they already do.** That isn't easy.

◆ The moment this moat disappears

Cost advantage is **the easiest of the five to lose.** And the moment it goes is predictable.

Where it came from	When it disappears
Using something at home	When it runs out or you can't use it
Doing it yourself	When the time goes (exam season)
Getting it cheap from someone you know	When they stop or raise the price

The problem is that all three are **things you don't control.**

Which is why holding only a cost advantage is dangerous.

While the cheap price gathers people, build something else in the meantime.

The best fit is Chapter 10's intangible asset.

People who came for cheap **stay because they like it.**

> **Cost advantage is a moat that opens the door. It isn't one that holds people.**

◆ So what happens when somebody copies you?

Somebody started the same thing.

If your cost really is lower, they can't match your price.

Sell at your price and they have nothing left. So they either raise the price or stop.

How long does it hold?	**Shortest**
Why so short?	Knowing the method is enough to copy it
To make it last?	Copying has to **cost the copier** something

◆ To sum up

- Cost advantage **has nothing to do with size.** Small can still be cheap.
- It comes from **what's already at home, what you don't do, and redesigning.**
- **A teenager's time costs less.** That's a real advantage.
- It's **the fastest of the five to get caught.** It buys time.
- To make it last, copying has to **cost the copier something.**

◆ Closing Part Two

That's all five. Put together they look like this.

Moat	How long does it hold?	Can you start today?
Economies of scale	Short	Yes (make several at once)
Network effects	Long	Fairly hard
Switching costs	Long	**Yes (one note file)**
Intangible assets	**Longest**	**Yes (keep your promises)**

Moat	How long does it hold?	Can you start today?
Cost advantage	**Shortest**	Yes, if you have one

Two of them you can start today and they last.

Switching costs and intangible assets. Both cost nothing and are built out of records and promises.

Having no capital right now doesn't mean you can't build a moat.

The two strongest were never buyable with money in the first place.

◆ Do This Today

Write two lines on paper.

> **Something other people pay for that I just have: ______**
>
> **Something other people do that I don't have to: ______**

Fill in even one and that's your cost advantage.

If you can't fill in either, ask this instead.

> **What's the biggest thing this costs me to make?**

Then think about whether there's a way to **not do it at all.**

Removing it is the third method. The hardest one, and the one that lasts longest.

Part Three · When It's Going Fine and Then Suddenly Isn't

◆ The strangest moment

Say you built one of Part Two's moats. It's ticking along.

Then one day it gets strange.

You didn't do anything wrong. You're working harder, if anything. And orders drop. The response cools.

This is the strangest moment, because you can't tell what went wrong.

◆ There are five ways things break

Chapter 5 of Book One taught you **fault lines.** The place a moat gives way.

There are five ways it gives way. Same for adult companies.

Ch	How it breaks	For a teenager
12	The rules change	A school rule or an app policy changed
13	Something easier arrives	Now anybody can do it
14	People move on	The trend passed
15	Your supplier does it themselves	The place that sold you materials sells direct
16	**It breaks by growing**	Too many orders

The first four come **from outside.** Only the last one comes **from inside.**

And what actually breaks a teenager is almost always the last one.

Which is why Chapter 16 is the most important chapter in this book.

◆ Knowing in advance changes it

There's a good thing about fault lines.

Most of them announce themselves.

It feels sudden, and looking back there were signals. You just couldn't see them at the time.

So every chapter in Part Three tells you **what to watch.** See it early and you can fix it early.

◆ Breaking isn't failing

One thing to say first.

Moats break. That's what they do. Nothing is permanent.

Adult companies are the same. The list of the biggest companies in the world turns over far faster than you'd think. It looks different within a generation.

So your thing breaking is not you being bad at this.

What matters is what you know when it breaks.

Know the reason and you can build it again. Don't know the reason and all that's left is *yeah, I'm not built for this.*

Chapter 12 · The Rules Changed

◆ One day you just can't anymore

It was going fine and then one day this happens.

- The school posts a notice banning selling on school grounds
- The app you use changes its policy so minors can't use it
- The thing you sell becomes a prohibited item

You did nothing wrong. And you can't do it anymore.

◆ The usual thought — this isn't fair

The first feeling is unfairness. You followed the rules and then the rules changed.

Half right.

It is unfair. And stopping there teaches you nothing.

The question to ask is this.

> **How much of my business was sitting on top of that rule?**

◆ Which layer it was is everything

The same rule changes and some people are wiped out while others are fine. There's one difference.

Whether the rule was the whole moat or one layer of several.

Here's the example.

A only sold inside school.

Ban on-campus selling and A's business disappears entirely. **The rule was everything.**

B sold at school, sold on a local app, and had regulars.

Ban on-campus selling and B loses one layer. **The other layers keep going.**

> **The way to reduce rule risk isn't predicting the rules. It's building one more layer that isn't a rule.**

◆ And rules differ by place

Worth knowing too.

The same activity **is allowed in one place and not in another.**

- Banned at school, fine in your neighborhood
- One app bars minors, another allows it with a parent's consent

So when you hear "you're not allowed to do that," it's worth checking **where** you're not allowed.

◆ Signals you can see in advance

This fault line is **the slowest of the five and the easiest to see coming.** Three things to watch.

One, know where the notices get posted.

School announcements, app notices, terms-of-service change alerts.

Most of them tell you first. People just don't read them.

Two, check age requirements regularly.

Platform sign-up rules and parental consent requirements change often.

That's exactly why this book doesn't print the specific requirements. Searching and checking right now is what's accurate.

Three, watch somebody else get caught first.

When you hear that somebody got restricted, that's the signal. You could be next.

◆ Sometimes a rule helps you

Here's an interesting one.

You'd think a new rule is always a loss. **Sometimes it's a win.**

Say you've been keeping your promises and doing it honestly. And there were so many people cutting corners that nobody could tell the difference.

Then a rule arrives and filters out the corner-cutters.

You're one of the people left.

> **Rules hit the people who weren't following them first. If you already were, you come out ahead.**

◆ How to read the rules in advance

You can't stop rules from changing. **You can know first.** You just have to know where to look.

One, read the terms of the place you use, once.

Not all of it. **Search for three words.**

> **Age · prohibited · payment**

Nearly everything you need to know is near those three words. Ten minutes. And almost nobody has ever done it.

Two, rules change, so don't memorize numbers.

Memorizing "you can do this from age such-and-such" is risky. It changes.

Memorize where to check. That part rarely changes.

Three, if it's happening at school, ask first.

Not to get permission **— to know what the rules are.**

Far better than getting stopped later is knowing first and going around it.

> **There are far more people who never read the rule than people who broke it.**

◆ To sum up

- Before feeling wronged, ask **which layer of my moat that rule was.**

- Sitting entirely on one rule is dangerous. **Build another layer.**
- Rules **differ by place.** When you hear no, check where the no applies.
- **They're announced in advance.** Know where the announcements appear.
- If you were already following them, a rule can work **in your favor.**

◆ Do This Today

Write one line.

> **If what I'm doing gets banned, I can keep going through ______.**

If you can fill in the blank, the rule was one layer. You're fine.

If you can't fill it in, that's your biggest risk right now.

So today's job is **building one more place.**

Add another place to sell, or keep your regulars' contact details separately.

Just make one path that continues when one place closes.

Chapter 13 · Something Easier Came Along

◆ Now anybody can do the thing I was good at

This happens.

There was something you were good at. Other people weren't good at it, so people asked you to do it.

Then one day **a tool showed up that makes it easy.**

Now anybody can do it. What took you an hour, other people do in five minutes.

Your skill didn't shrink. It stopped being necessary.

◆ The usual thought — I'll just get better

You decide you should do something harder. Climb to a level nobody can follow you to.

Half right.

That's one option. But the tools keep improving. However far you climb, the tools climb after you.

And the real problem is this.

> **If your moat was "this is hard," the moat disappears the moment it gets easy.**

◆ So here's what to look at

You have to shift your view here.

Stop looking at **what you're good at** and look at **the problem it solves.**

For example.

What you're good at	The problem it solves
Nice handwriting	People want **the feeling that care was taken**
Good photo editing	People want **to look good**

What you're good at	The problem it solves
Well-organized notes	People want **to do well on the test**

A tool arrives and **the right column doesn't disappear.** People still want that.

What disappeared is the left column — one method of delivering it.

> **The moat isn't in what you're good at. It's in the problem it solves.**

◆ So what do you do?

One, use the tool first.

If a new tool appeared, be the first one to use it.

Making far more with it while other people don't know about it yet is a temporary advantage.

Don't fight it. Get on it first.

Two, move toward what the tool can't do.

What tools are good at is generally **making things.** What tools aren't good at is this.

- Knowing what suits this particular person
- Asking and adjusting
- Delivering on time
- Being someone who can be trusted

All of it is Chapter 10's intangible assets.

The more common the tool, **the more value survives only in what the tool can't make.**

So when this fault line arrives, the intangible-asset side actually gets stronger.

Three, don't be embarrassed to use the tool.

This part matters.

Some people won't use a new tool because it feels like it isn't really their own skill. That's a loss.

People buy the result, not the process.

Whether you spent three hours by hand or ten minutes with a tool, the person receiving it gets the same thing.

Spend the time you saved on what the tool can't do.

◆ This fault line is the fastest one right now

One thing worth pointing out.

Tools are appearing much faster than they used to. Tools that write, draw, organize and translate for you keep arriving.

So **the moat "this is hard, so only I can do it" is weakening fastest.**

And for the same reason, some moats are **getting stronger.**

Getting weaker	Getting stronger
Too hard for anyone to copy	**I buy from them** (intangible assets)
Only I can do it fast	**Moving is a hassle** (switching costs)

The easier making gets, the more **who made it** matters.

When there are more makers, choosing becomes the work. And when people choose, they choose **somebody they know.**

> **The more common the tools, the rarer the person.**

So there's no reason to be afraid of a new tool.

Use the tool, and build your moat on the person side.

◆ Signals you can see in advance

One, watch whether the number of people doing it jumps. If there were a few and suddenly there are many, it got easy.

Two, watch whether the price falls. Somebody doing the same thing for half the price means there's a tool.

Three, time it. Ask how fast other people do it. If you take much longer, you're already late.

◆ To sum up

- When a tool arrives, **what you're good at** can vanish while **the problem it solves** doesn't.
- The moat is in **the problem it solves,** not the skill.
- **Get on it first, or move toward what the tool can't do.**
- When tools get common, **intangible assets get stronger.**
- Don't be embarrassed to use tools. **People buy the result.**

◆ Do This Today

Write two lines.

> **What I'm good at: ______ The problem it solves: ______**

If the second line won't come, that's your warning signal right now.

Not knowing the problem you solve means having nothing to replace the skill with when a tool arrives.

And one more thing.

> **Spend ten minutes today looking for a tool that does this much more easily.**

If there is one, try it. If there isn't, there will be.

Either way, the person who knows is ahead of the person who doesn't.

Chapter 14 · The Trend Passed

◆ Suddenly nobody's asking

This happens.

A few good months. You made things and they sold. People kept asking about it.

Then one day it goes quiet.

You didn't get lazy. The product didn't get worse. **You made the same thing the same way and nobody's asking.**

And a few days later you find out. Everyone's into something else now.

◆ The usual thought — I need to promote more

Most people do this at this point.

Post more. Tell more people. Cut the price.

Half right.

Telling people works on people who didn't know. But on **people who know and stopped caring,** telling them again does nothing.

Telling somebody who already knows is just noise.

> **There are two reasons things stop selling, and you're only answering one.**

◆ The real reason — the people moved

You have to go back to box one here. **Customer.**

The trend passed isn't quite accurate. **People didn't vanish. What they want moved.**

You have to separate these.

What moved	Meaning	What to do
The people changed	Seniors graduated and freshmen arrived	Tell the new arrivals from scratch
What they want changed	Same people, they want something else now	Change what you make
Where they go changed	Same want, buying it somewhere else	Follow them there

Three completely different problems. **And they look identical from outside.** Orders drop.

So the first job is **figuring out which of the three it is.**

◆ There's one way to find out — ask

Numbers tell you it dropped. They don't tell you why. That only comes **from asking a person.**

Ask **three people** who used to buy and don't anymore.

> "You haven't gotten one of these lately. Just curious what changed."

Not accusing — curious. Three people is usually enough to see it.

If all three say something similar, that's your reason. If all three say something different, it isn't a trend, it's another problem.

◆ So what do you do?

One, decide whether to follow the people or keep the product.

Here's the fork.

- **Follow the people** — make what your old buyers want now.
- **Keep the product** — find different people who still want this.

Both are correct answers. **You just can't do both.**

Trying to do both and ending up with neither is the most common failure here.

Two, don't sell the trend itself.

Somebody who once sold into a big trend goes hunting for the next one. But chasing trends means starting from zero every time.

When a trend ends, **nothing has accumulated.**

Three, stack on people, not on trends.

This is the most important sentence in the chapter.

A trend passes and **the people who bought from you don't disappear.**

If you still have a way to reach them, you can tell them the moment you make the next thing.

> **Trends pass. Your list doesn't.**

That's Chapter 10's intangible asset. What's left isn't the trend. **It's the relationship.**

◆ Signals you can see in advance

One, watch whether first-time buyers are dropping.

Before total orders fall, **first-time buyers** fall first. That's the earliest signal.

Two, watch whether the questions change.

When "how do I get one?" goes down and "could you also do ___?" goes up, interest is leaking sideways.

Three, watch what other people are doing.

When people who were doing the same thing start moving to something else, that's the signal. Usually the busiest one moves first.

◆ There's no way to be trend-proof

Let's admit one thing.

A product that doesn't ride trends also doesn't sell much.

It sold a lot suddenly *because* there was a trend. You can't take all of that benefit and pay none of the cost.

So the right way to think about it is this.

> **A trend delivers customers. It doesn't hold them.**

Which means there are specific things to do while the trend is on.

While the trend is on	The thing to do
Orders are pouring in	**Build a list**
People are paying attention	**Ask what they want next**
Some money is piling up	**Don't spend all of it**

Skip those three while it's good and there's nothing left when it cools.

The good stretch is the preparation time.

◆ To sum up

- *The trend passed* means **the people moved.**

- There are three ways they move. **The people, the want, the place.**
- The only way to find out is **asking three people who stopped buying.**
- **Decide: follow or keep.** Not both.
- Don't stack on trends. **Stack on people.**

◆ Do This Today

Compare last month and this month and write one line.

> **First-time buyers: last month ___ → this month ___**

Not total orders. **First-time buyers.** That's what moves first.

And one more thing.

> **Ask one person who stopped buying, today.**

One is enough. Whatever the answer is, it's more useful than more promotion.

Chapter 15 · The Place That Sold Me Materials Sells Direct Now

◆ The place that sold to me is competing with me

This happens.

You bought materials somewhere and made something to sell. Sticker paper into stickers, beads into bracelets, whatever it was.

One day that place **starts selling the finished thing.**

And cheaper than you. Obviously. They don't pay for materials.

Yesterday they sold to you. Today they're fighting you.

◆ The usual thought — I got betrayed

You get angry. They seem like the bad guy.

Half right.

The feeling makes sense. As a business matter, though, they didn't do anything strange.

They were watching **what you buy for and what you sell for.**

When the gap is big, they start thinking *we could just do this ourselves.*

> **The more visibly you're making on it, the more reason they have to come in.**

So this isn't betrayal. **It's structure.**

Structure can be anticipated, and anticipated things can be prepared for.

◆ The real question — what was your job, exactly?

There's a question to ask here.

> **The gap between what you paid for materials and what you sold for — what was that gap paying for?**

That gap exists because you **added something.** The question is what that something was.

What you added	Can they copy it?
Turning materials into a finished thing	**Easily** — they do it better
Handing it over at school, immediately	**Hard** — they can't get into your school
Making each one different	**Hard** — they only do volume
Answering right away when asked	**Hard** — they can't do that

If the first row was all you were doing, you get pushed out this time. If you were doing even one of the lower three, you don't.

> **The place selling materials is good at making materials. It doesn't know your customers.**

◆ So what do you do?

One, don't depend on one place.

If there's only one source for your materials, there's nothing you can do when they raise the price or start selling direct.

Find a second source in advance. You don't have to buy from it. Just know where it is.

Knowing costs nothing. Not knowing means being stuck on the day it happens.

Two, make what you added visible.

If people buy from you because *this is the only place to get it,* you're exposed.

Safe is when they buy because you're better.

For that, your customers have to know what you added. Say nothing and nobody knows.

Three, don't brag about your margin.

This one's practical.

Some people say "the materials for this barely cost anything" like it's a brag.

To a customer that sounds like *I overpaid*. To your supplier it sounds like **we could just do this ourselves.**

Four, go to a size they can't work at.

The place selling materials makes money **on volume.**

One at a time, each one different, with a name on it, delivered today — all of that loses them money.

The position they don't want is your position.

◆ Signals you can see in advance

One, watch whether they start posting finished products.

When a materials seller starts showing "here's what you can make with this," that's usually the step before selling direct.

Two, watch whether they get curious about your customers.

When they start asking "who mostly buys from you?" or "what do you sell it for?" they're doing research.

Three, watch whether material prices creep up quietly.

Sometimes the price rises before the direct selling starts.

◆ It also happens the other way

This fault line comes from the other direction too. That version may even be more common.

The place where you sell starts selling directly.

An app, a cafe, a club market — wherever you post your things. When that place sees it going well, **it wants to do it itself.**

What usually happens then is this.

- The fee goes up, or
- The rules get stricter, or
- You get pushed to a spot nobody sees

It's next door to Chapter 12's rules problem. The cause is different, though.

The rules didn't change. That place started wanting your position.

There's only one way to guard against it.

> **Make it so people don't know you through that place — they come to that place because they know you.**

Then when the place changes, the people follow.

The place is borrowed. The list is yours.

◆ To sum up

- A supplier selling direct isn't **betrayal. It's structure.**
- The more visible your margin, the more reason they have to come in.
- The people who don't get pushed out aren't **the ones who turned materials into products — they're the ones who know the customers.**
- **Know two sources.** You don't have to buy from the second.
- **The size they don't want to work at** is your position.

◆ Do This Today

Write two lines.

> **Where I buy materials: ______ Somewhere else I could buy them: ______**

If the second line is blank, spend ten minutes today finding one. Don't buy. Just find it.

And one more thing.

> **Write, in one sentence, why customers buy from you.**

If that sentence contains "because it's only sold here," you're exposed. If it contains "because they're better at it," you're safe.

Chapter 16 · Too Many Orders Killed It

◆ It starts on the best day

This is the most important chapter in the book.

It's the most common reason a thing a teenager started actually collapses.

And it starts **not when things are going badly but when they're going best.**

Here's what happens.

One day the orders pile in. Somebody shared it, or word got around. Three a day became thirty.

It feels great. Obviously. This is what you started for.

So you take all of them. **You don't turn down a single one.**

The next week it looks like this.

- You stay up all night and still can't finish them
- Rushing makes them come out worse than before
- You miss dates you promised
- You can't answer the messages asking where it is
- Your homework piles up

And a month later nothing is left. **Not the orders, not the reputation, not the wanting to do it.**

◆ The usual thought — you can't waste an opportunity

Everybody thinks this at this point.

Will this ever come again? I have to take all of it. If I turn people down they won't come back.

Half right.

It is an opportunity. But **taking all of it is not how you save an opportunity.**

Here's the thing that's inverted.

> **Take thirty and deliver badly, and thirty people are disappointed. Take ten and deliver well, and ten are happy and twenty are waiting.**

Which is better a month later? **The second.**

The thirty disappointed people don't come back. The twenty waiting are still there.

◆ The real reason — you weren't selling a product

Here's the core.

Chapter 3 said **your time is a cost too.** You have to look at that again here.

What you sell looks like a product. It's actually **your time.**

And time **cannot be increased.** Money doesn't buy a twenty-fifth hour.

If it's a product, more orders means make more. **Time doesn't grow when orders grow.**

	If orders double
Materials	Buy twice as much
Money	Twice as much comes in
Your time	**Doesn't grow**

So past a certain point, **more orders makes it worse.**

That's what makes this different from the previous four chapters.

The fault lines in Chapters 12 through 15 came from outside. Rules, tools, people, suppliers.

This one comes from inside. And you built it.

> **If you don't know how much you can handle, doing well is itself dangerous.**

◆ You have to know your limit as a number

Busy is too vague to stop this. You need a number.

Measuring three lines gets you there.

> Time to make one: **___ minutes** Time available per day: **___ minutes** Max per day = second ÷ first = **___**

That number is your **limit line.**

And you have to subtract from it. **Don't fill it to the top.**

If one thing goes wrong — materials run out, something needs remaking, exams arrive — a plan filled to the top collapses that day.

> **Take up to eighty percent of the limit. The other twenty percent is the space accidents live in.**

◆ So what do you do?

One, write your no in advance.

Saying no is hard because the words don't come. Written down in advance, it's easy.

> "This week's full. I could start Tuesday next week if that works?"

That isn't a no. **It's giving them a date.** Nobody's feelings get hurt.

And it actually reads as **a signal that things are going well.**

Two, keep a waiting list.

Don't let the orders you can't take just evaporate. Write down names and contacts.

That's next week's orders, and it's the **list** that survives a trend passing (Chapter 14).

Turning people down stops being a loss and becomes **savings.**

Three, raising the price is also an option.

Orders arriving faster than you can handle also means **the price is low.**

Raise it and orders drop some. That looks bad, and it means earning more in the same hours while protecting the quality.

Four, set a quality standard in advance and don't sell below it.

Rushing clouds your judgment. So you set it before the rush.

> **Write one line: "I don't send it out unless it's at least this good."**

That one line protects you when you're busy.

Five, adding people is the last thing to think about.

Bringing a friend in looks like the fix, and as Chapter 4 showed, **more people means more things to settle.**

Teaching them also comes out of your hours.

Adding people when you're busy usually makes you busier.

◆ Signals you can see in advance

One, watch whether you missed a promised date even once.

Once is an accident. Twice is a structure. You've already crossed the limit line.

Two, watch whether remakes are increasing.

Rushing produces more remakes. That eats more time, which makes you rush more.

That's the scariest loop there is.

Three, watch whether you stopped wanting to do it.

That's a feeling rather than a number, and it's the most accurate one.

If something you started because you liked it has become a weight, you already took too much.

◆ To sum up

- A teenager's business usually breaks **not from failing but from doing well.**
- Materials and money can grow. **Your time can't.**

- **Know your limit as a number and take eighty percent of it.**
- Saying no isn't a loss. **Give a date and write them on a list.**
- If you can't keep up, **raising the price is an answer.**
- Set **one line of quality standard** before the rush.

◆ Closing Part Three

That's all five fault lines. Collected in one table.

Fault line	Where from?	What tells you early?
The rules change	Outside	Terms · notices · school rules
Something easier arrives	Outside	How many people do it · price · time taken
People move on	Outside	**Number of first-time buyers**
Suppliers sell direct	Outside	Whether they start posting finished products
It breaks by growing	**Inside**	**Whether you kept promises · how many remakes**

Four come from outside and one comes from inside.

And strangely, **the way to beat all five overlaps into one thing.**

> **The list of people who bought from you, and those people trusting you.**

Rules change and the list stays. Tools arrive and the trust stays. A trend passes and the list lets you announce the next thing. A supplier sells direct and people go to the one they know.

That's why Chapter 10 said the intangible asset lasts longest of the five.

Finish Part Three and you can see where that came from.

And one last thing: the fault line that comes from inside is the one a list can't stop.

That one is stopped only by you knowing your own limit.

◆ Do This Today

Measure three lines and write them down. Don't estimate. Actually time it once.

> **To make one: ___ minutes Time available per day: ___ minutes Max per day: ___ → eighty percent of that: ___**

That last number is your **intake limit,** starting today.

And one more thing.

> **Write one sentence that says no, and save it somewhere.**

You won't need it right now. On the day you need it, you won't have time to write it.

Closing — How to Quit, and How to Start Again

◆ Nobody writes a book about how to quit

You made it here.

Books usually end with *don't give up*. That sentence is only half useful.

Some things should be quit.

You stopped enjoying it. Exams are on top of you. You tried it and it isn't you.

And nobody tells you how to quit.

So everybody just disappears. Stops answering, stops posting, quietly.

That's the problem. **Quit that way and nothing at all is left.**

◆ Quitting well versus disappearing

They are completely different.

	Disappearing	Quitting well
The people who bought	Angry at getting no reply	Told in advance, so they understand
The friend you did it with	Left feeling let down	Wrapped up and parted properly
What's left for you	"Yeah, I'm not built for this"	Three lines on what you learned
Next time you start	From zero	**From where you left off**

Quitting well takes three things.

One, tell people.

One line to the people who bought from you.

"I'm wrapping this up at the end of the month and taking a break. Thanks for everything."

Whether that line exists makes an enormous difference when you start again later.

Two, close things out.

Finish anything you took money for. Keep anything you promised. Settle with the friend you did it with about what's left.

Three, write three lines.

> **What I did: ______ Where I got stuck: ______ What I'd do differently: ______**

Those three lines are the output of this entire book.

If you have them, you didn't quit. **You finished.**

◆ Why the three lines matter

When somebody who quit starts something again later, they mostly **get stuck in exactly the same place.**

Because they never wrote down where they got stuck.

With the three lines it's different.

Right, last time nobody bought. So this time I ask before I make anything.

Chapters 1 through 16 existed to help you write those three lines well.

To let you name the place you got stuck in precise words.

Instead of "it just didn't work," you get to write this.

"Box one was wrong. The person who said they'd buy and the person who actually paid were different people."

Write that and it isn't failure. **It's data.**

◆ Breaking is what things do

As Part Three showed, moats break. That's what moats do.

Same for adult companies. The list of the biggest companies in the world keeps turning over.

However well something is made, the rules change, tools arrive, people move on.

So your thing breaking is **not you being especially bad at this.**

One thing does have to be different, though.

> **Learn nothing each time it breaks and every time is the first time. Learn one thing each time and every time starts further along.**

◆ How to start again

Don't start again like it's the first time. You already have three things.

One, you have a list.

The people who bought from you before. Even one of them puts you well ahead of the start.

The hardest thing when starting is **the first customer,** and you have one.

Two, you know your limit line.

The number you measured in Chapter 16.

Somebody who knows how many they can do in a day is a completely different person from somebody doing this for the first time.

Three, you can see in five boxes.

Before starting anything new, you write five lines.

Who pays, what they're paying for, how you collect, why nobody can take it, where it breaks.

Not many people can write those five lines before they start.

You read two books, so you can.

◆ Finally

The last sentence of Book One was *starting is the thing that counts.*

The last sentence of Book Two is this.

> **Somebody who has done it once doesn't go back to being somebody who hasn't.**

Whether it's going well or badly right now, whether you already quit or you're still going, none of that matters.

You are somebody who made a thing and held it out to another person.

You set a price. You got turned down. You did the math.

That doesn't go away.

At twenty, at thirty, that sense is still there. And by then there'll be far more you can do with it.

For that day, write three lines now.

> **What I did · where I got stuck · what I'd do differently.**

That's everything this book is asking of you.
